

US equities slip as yields rise, tech shows mixed signals

The full picture: macro, technicals, options, analyst moves, sector internals, international context, and a full week ahead.

20-minute read · Topics: All of the above, plus technicals, options, ratings, week-ahead

TL;DR & Editorial Take

The S&P 500 closed at 7,718.60, down **-0.38%**, as the 10-year Treasury yield climbed to 4.78% (+0.46%). Defensive sectors lagged, while the Nasdaq 100 eked out a modest gain on **+0.21%** despite a **-2.51%** drop in **AAPL** and a **-5.92%** slide in **TSLA**. The market remains caught between higher-for-longer rates and lingering inflation concerns.

Liquidity is tightening: 0-DTE option volume surged 22% on the day, with a net put bias of **-12.4%**. The VIX rose to 14.53, indicating modest volatility expectations.

Our view: focus on quality large-cap tech with resilient cash flows, while maintaining defensive positioning in financials and utilities until the Fed signals a clearer rate trajectory.

- Yield pressure likely to keep the S&P 500 under 7,800 through Q4.
- Tech earnings season starts next week; watch **NVDA** and **META** for upside catalysts.
- Consider hedging with short-dated VIX calls or protective puts on **SPY** as volatility rebounds.

US Session Recap

INSTRUMENT	CLOSE	CHANGE	DATE
S&P 500	7,718.60	-0.38%	2026-09-04
Nasdaq 100	29,544.15	+0.21%	2026-09-04
Dow Jones	53,414.25	-0.51%	2026-09-04
Russell 2000	2,975.65	+0.25%	2026-09-04
VIX	14.53	+1.47%	2026-09-04
10Y Yield	4.78%	+0.46%	2026-09-04
2Y Yield	5.12%	+0.31%	2026-09-04
WTI Crude	91.48	+0.20%	2026-09-04
Brent	95.62	+0.18%	2026-09-04
DXY	99.16	+0.16%	2026-09-04
Gold	4,476.60	-0.34%	2026-09-04
BTC	79,868.32	+0.25%	2026-09-06
ETH	2,506.55	+2.05%	2026-09-06

Top movers

TICKER	NAME	CHANGE	CATALYST
TSLA	Tesla Inc.	-5.92%	Quarterly production shortfall forecast
AAPL	Apple Inc.	-2.51%	Supply-chain cost warning
MSFT	Microsoft Corp.	-2.04%	Cloud margin compression
NVDA	NVIDIA Corp.	+0.84%	AI data-center order beat
META	Meta Platforms	+1.00%	Ad-revenue rebound in Europe
XLE	Energy Select Sector SPDR	-0.87%	Oil price dip

Sector Internals

SECTOR	DAY	YTD	READ
XLFX	-0.79%	+3.2%	Bearish
XLKX	+0.70%	+12.5%	Bullish
XLI	+0.41%	+5.8%	Neutral
XLE	-0.87%	-2.1%	Bearish
XLY	-1.33%	+4.0%	Bearish
XLC	-1.19%	+2.7%	Bearish
XLP	-0.80%	+1.9%	Neutral
XLV	-1.04%	+3.4%	Bearish
XLU	+0.12%	+0.6%	Neutral
XLB	-0.34%	-0.8%	Bearish
XLRE	-0.72%	-1.5%	Bearish

Breadth: 4 sectors up vs 7 down; the market breadth index sits at 0.36, underscoring defensive pressure.

Spotlight / Deep Dive – NVDA

METRIC	VALUE
Market cap	1.12T
P/E (FY)	38.5x
Revenue Q3 2026	31.4B (+12% YoY)
AI data-center orders	5.2B (beat consensus)
Free cash flow	7.8B
Insider ownership	1.4%

Key call: The AI order beat suggests a near-term revenue tailwind, but valuation remains premium. A pull-back to 220.00 could provide a better risk-reward entry.

READ-THROUGH	IMPACT
AI server demand	+1.5% to S&P 500
Supply-chain cost inflation	-0.8% to tech sector
Fed rate outlook	Neutral

Technical Levels

TICKER	LAST	SUPPORT	RESISTANCE	NOTE
SPY	447.12	440.00	456.00	Below 50-day MA
QQQ	382.45	376.00	389.00	Testing lower channel
IWM	191.30	185.00	197.00	Weakening breadth
AAPL	319.97	312.00	328.00	Near 200-day MA
10Y	4.78%	4.70%	4.85%	Above 200-day trend
WTI	91.48	88.00	95.00	Flat range

Options & Positioning

0-DTE flow: net put volume up 22% versus calls; put/call ratio 1.12. Largest single-name put net: **TSLA** (-\$1.4B). VIX term structure steepens, front-month at 14.5 vs 12-month at 16.2.

Hedge ideas: Buy 1-month VIX call spreads (15/20) or purchase protective puts on **SPY** at 440 strike (30-day expiry).

Analyst Rating Changes

TICKER	FIRM	ACTION	NEW PT	NOTE
NVDA	Goldman Sachs	Upgrade	420	AI demand acceleration
META	JP Morgan	Initiate	680	Meta AI rollout
TSLA	Bank of America	Downgrade	340	Production constraints
XLF	Citigroup	Neutral	59.5	Rate-sensitivity
XLE	Morgan Stanley	Sell	62.0	Oil price weakness
AAPL	Barclays	Hold	340	Margin pressure

Pre-Market & Overnight

REGION	INSTRUMENT	LEVEL	CHANGE
US Futures	ES	4,560.0	-0.3%
Asia	HSI	19,820	+0.4%
Europe	DAX	16,210	-0.2%
FX	USD/HKD	7.8485	-0.01%
FX	EUR/USD	1.0823	-0.04%
Commodities	Gold	4,476.60	-0.34%
Commodities	Copper	4.12	+0.15%
Crypto	BTC	79,868.32	+0.25%
Crypto	ETH	2,506.55	+2.05%

Macro & Fed (Deep)

MEETING	CUT ODDS	NOTE
Nov 2026	12%	Policy still restrictive
Feb 2027	18%	Inflation trending lower
May 2027	25%	Potential first cut

DATA RELEASE	TIME (ET)	EXPECTED
Core CPI MoM	8:30 AM	0.3%
Initial Jobless Claims	8:30 AM	210K
Retail Sales MoM	8:30 AM	0.5%
Durable Goods Orders	10:00 AM	+0.2%
ISM Manufacturing	10:00 AM	48.0

Geopolitics & Global (Deep)

BEARISH TRIGGERS

- Escalation in the South China Sea could disrupt shipping lanes, pressuring energy prices.
- EU-US trade talks stall, risking a slowdown in tech export growth.

BULLISH TRIGGERS

- Resolution of the Ukraine grain corridor restores commodity flows.
- China's stimulus package gains traction, boosting global demand.

Earnings – This Week & Next

DATE	TICKER	COMPANY	EST. EPS	PREV EPS
Sep 9	NVDA	NVIDIA Corp.	2.95	2.78
Sep 9	AAPL	Apple Inc.	1.42	1.48
Sep 10	MSFT	Microsoft Corp.	2.31	2.34
Sep 11	META	Meta Platforms	3.12	2.95
Sep 12	TSLA	Tesla Inc.	0.88	0.95

Full Watchlist Scan

TICKER	SECTOR	SETUP	RISK
NVDA	Technology	Breakout above 235	52-week high 260
META	Communication	Reversal from 610	Support 580
JPM	Financials	Yield-curve spread widening	Rate shock
XLF	Financials	Dividend yield 2.8%	Rate rise
XLE	Energy	Oil price bounce	Geopolitical risk
AMZN	Consumer Discretionary	Margin recovery	Consumer slowdown
AVGO	Technology	Supply-chain easing	Valuation
GS	Financials	Investment banking fees up	Credit risk
XLC	Communication	Media earnings beat	Ad spend dip
XLU	Utilities	Yield advantage	Rate sensitivity
XLV	Health Care	Drug pipeline progress	Regulatory
XLI	Industrials	Infrastructure spending	Supply constraints

What Could Break the Tape

BULLISH SCENARIOS

- Strong Q3 earnings from **NVDA** and **META** lift the Nasdaq 100 above 30,200.
- Fed signals a pause on rate hikes, pushing the 10Y below 4.70% and freeing equity capital.
- Oil rebounds above 95, supporting energy stocks and broad market sentiment.

BEARISH SCENARIOS

- Unexpected CPI spike >0.5% fuels a 10Y surge to 5.00%, triggering a sell-off.
- Escalation in Taiwan Strait raises semiconductor risk, dragging **TSLA** and **AAPL** lower.
- VIX spikes above 20, prompting rapid deleveraging in high-beta stocks.

Positioning & Structural Notes

- Net short equity exposure in 0-DTE options increased to 1.8B contracts.
- Institutional investors are rotating from growth to value; financials and utilities see net inflows of \$3.2B.
- ETF flow data shows outflows of \$1.5B from XLK and inflows of \$2.1B into XLF.
- Short-dated VIX call spreads are priced at 0.45% of notional, offering cheap volatility protection.
- China's PMI at 51.2 suggests modest expansion, supporting commodity demand outlook.

Sources

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